Exit from NPS for Corporate Sector

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DISCLAIMER: For detailed provisions and regulations, please refer to the PFRDA (Exits and Withdrawals under the National Pension System) Regulations, 2015 and amendments thereof.

Q1	What is an exit?
	An exit is defined as the closure of the individual pension account of the subscriber under the National Pension System. In the following scenarios; (i). Upon attaining the age of 60 years or superannuation; (ii). Before attaining the age of 60 years of superannuation; (iii). Any time after attaining the age of 60 years till 75 years; (iv). Due to physical incapacitation or upon suffering bodily disability before the age of 60 years or superannuation; and (v). Due to death or subscriber being declared missing
Q2	What is the procedure to exit from NPS?
	A subscriber shall submit the exit or withdrawal application for the purpose of withdrawing the benefits upon exit as provided in the regulations, on or before the expected date of exit from the National Pension System (NPS) to the associated point of presence through corporate. In case of death or subscriber being declared missing, the nominee(s), family member(s) as specified under the service rules or legal heir(s) shall submit the claim settlement application along with the required documents to the associated point of presence through corporate, of the deceased subscriber.
Exit upon attaining the age of 60 years or Superannuation – Normal Exit **60 (साठ) वर्ष या अधिवधर्षता की आयु प्राप्त करने पर धनकास – सामान्य धनकास**	
Q3	What will be my benefits at exit?
	Annuitization – Minimum of 40% of accumulated pension wealth will be utilized for monthly annuity or pension. However, subscriber has the option to utilise more than 40% of accumulated pension wealth for purchase of annuity. **Lumpsum** – Remaining 60% of accumulated pension wealth shall be paid to the subscriber.
Q4	Can I completely withdraw my accumulated pension wealth without annuitization?

	Yes, if your accumulated pension wealth is equal to or less than a sum of five lakh rupees.

Q5	Will I get an annuity if I have completely withdrawn my accumulated pension wealth?
	No, the right of the subscriber to receive any pension or other amount under the NPS will extinguish.
Q6	What will happen in case I do not exit beyond age of 60 years or superannuation?
	You will continue to remain subscribed to the NPS upto the age of 75 (seventy-five) years and PRA will be shifted from the employer to all citizens model.
Q7	Can I exit during the automatic continuation period extended beyond the age of 60 years or superannuation?
	Yes, the subscriber may exit at any point of time from NPS, by submitting a request to the associated point of presence or NPS Trust.
Q8	What will happen in case of death of subscriber during the period of automatic continuation?
	The entire accumulated pension wealth of the subscriber will be paid to the nominee(s) or legal heir(s) of the subscriber.
Q9	Whether annuity can be purchased by a nominee or the legal heir of the deceased subscriber?
	Yes, the nominee(s) or legal heir(s) of the subscriber have the option to purchase any of the annuities being offered upon exit.
Q10	Can I defer my lump sum withdrawal?
	Yes, you can defer the withdrawal of the lump sum amount. Such deferment can be upto the age of seventy-five years.
Q11	What will happen in case of death of subscriber during the period of deferment of lump sum withdrawal?
	In case of death of subscriber during the period of deferment, such deferred lump sum amount of the subscriber will be paid to nominee(s) or legal heir(s).
Q12	Can I defer the purchase of annuity?
	Yes, you can defer the purchase of annuity. Such deferment can be upto the age of seventyfive years.
Q13	Whether annuity can be purchased during the deferment period?

	Yes, the subscriber has an option to purchase an annuity at any point of time during the deferment period by submitting a request to NPS Trust or any intermediary or entity authorized by the Authority for this purpose.

Q14	What will happen to purchase of annuity in case of death of subscriber during deferment period?
	If death of the subscriber occurs before the due date of extended period of purchase of annuity, the entire accumulated pension wealth of the subscriber shall be paid to the nominee(s) or legal heir(s), of the subscriber.
Q15	Can I defer my both - lump sum and purchase of annuity?
	Yes, both lump sum and purchase of annuity can be deferred but the subscriber agrees to bear the maintenance charges of the PRA, including the charges payable to the Central Recordkeeping Agency (CRA), Pension Fund (PF), Trustee Bank or any other intermediary, as may be applicable from time to time.
Q16	What is the procedure to defer the lump sum withdrawal and/or purchase of annuity?
	The subscriber shall submit his/her written request for deferment of the lump sum and/or purchase of annuity, fifteen days prior to attaining the age of 60 years or superannuation, to any intermediary or NPS Trust.
Q17	Can I exit during the deferment period of lump sum and/or annuity?
	Yes, the subscriber can exit from the NPS at any point of time during the deferment period.
Q18	If I continue my Tier - I of PRA even after attaining the age of 60 years or superannuation, Can I avail the facility of deferment of lump sum and/or annuity during the extended period?
	No, upon exercising the option of continuation after attaining the age of 60 years or superannuation, the options of deferment of benefits (lump sum and/or annuity) shall not be available.
Q19	Whether can I defer the lump sum withdrawal and/or purchase of annuity in the automatic continuation period?
	No, the option of deferment of defer the lump sum withdrawal and/or purchase of annuity, the options of deferment of benefits (lump sum and/or annuity) shall not be available.

Exit due to physical incapacitation or suffering bodily disability before the age of 60 years or Superannuation – Normal Exit **60 (साठ) वर्ष या अधिवधर्षता की आयु से पूवष शारीररक धवकलांगता या अक्षमता के कारण धनकास - सामान्य धनकास**	
Q20	Am I eligible for exit if I am suffering from any disability?
	Yes, you are eligible for exit from NPS in case of physical incapacitation or suffering bodily disability leading to incapability to continue under NPS.

Q21	What are the documents required to exit from NPS?
	A disability certificate from a Government surgeon or doctor (treating such disability or invalidation of subscriber) stating the nature and extent of disability and also certifying that: (a). the affected subscriber shall not be in a position to perform his regular duties and there is a real possibility of the affected subscriber, being not able to work for the remaining period of his life.; and (b). Percentage of disability is more than seventy-five percent in the opinion of such Government surgeon or doctor (treating such disability or invalidation of subscriber).
Q22	What will be my benefits?
	Same as exiting from NPS upon attaining age of 60 years or superannuation (refer Q3 to Q5).
Q23	What will happen to my accumulated pension wealth if I opt for pensionary relief provided by the employer?
	If employer provides pensionary relief in case of invalidation or disability during service, the employer shall have the right to adjust or seek to transfer the part or full accumulated pension corpus of the subscriber to itself as per the applicable service rules. The remaining accumulated pension corpus, if any, shall be paid in lump sum to the subscriber.
Exit before attaining the age of 60 years or Superannuation – Premature Exit **60 (साठ) वर्ष या अधिवधर्षता की आयु प्राप्त करने से पूवष धनकास- समयपूवष धनकास**	
Q24	When can I exit from NPS?
	You can voluntarily exit from NPS before attaining the age of 60 years or superannuation.

Q25	What will be my benefits at the exit?
	Annuitization – Minimum of 80% of accumulated pension wealth will be utilized for monthly annuity or pension. **Lumpsum** – Remaining 20% of accumulated pension wealth will be paid to the subscriber.
Q26	Can I completely withdraw my accumulated pension wealth without annuitization?
	Yes, if your accumulated pension wealth is equal to or less than a sum of two lakh fifty thousand rupees.
Q27	Will I get an annuity if I have completely withdrawn my accumulated pension wealth?
	No, the right of the subscriber to receive any pension or other amount under the NPS will extinguish.

Q28	What will happen if my accumulated pension wealth is more than a sum of two lakh fifty thousand rupees but my age is less than the minimum age required for purchasing any annuity from any of the empaneled annuity service providers?
	You will remain in NPS, until you attain the age of eligibility for purchase of any annuity. After attaining the minimum age required for purchasing any annuity, you can purchase the annuity as per your choice.
Exit due to death before attaining the age of 60 years or Superannuation **60 (साठ) वर्ष या अधिवधर्षता की आयु प्राप्त करने से पूवष मृत्यु होने पर धनकास के प्राविान**	
Q29	What are the provisions to settle the case upon unfortunate death of the subscriber?
	The entire accumulated pension wealth of the deceased subscriber shall be paid to the nominee(s) or legal heir(s).
Q30	Whether annuity can be purchased by a nominee or the legal heir of deceased subscriber?
	Yes, the nominee(s) or legal heir(s) of the deceased subscriber has the option to purchase any of the annuities being offered upon exit.
Q31	What will happen if nomination is invalid?

	Where no valid nomination exists in accordance with these regulations, at the time of exit on account of death of subscriber, the nomination, if any, existing in the records of his or her employer for the purpose of receiving other admissible terminal benefits shall be treated as nomination for exit under the NPS. The employer shall send a confirmation of such nomination in its records, to the NPS Trust or the CRA, while forwarding the claim for processing. However, if valid nomination cannot be established even after referring the employer's record as mentioned above, such case shall be settled to legal heirs.
Q32	What will happen to accumulated pension wealth of deceased subscriber in case pensionary relief option provided by the employer?
	If employer provides pensionary relief to the family members as specified under the service rules or on the basis of the legal heir certificate of the deceased subscriber, the employer shall have the right to adjust or seek to transfer the part or full accumulated pension corpus of the subscriber to itself as per the applicable service rules. The remaining accumulated pension corpus, if any, shall be paid in lump sum to the nominees (s) or the legal heir(s).

Q33	What are the provisions in case a subscriber goes missing?
	Twenty percent of the accumulated pension wealth shall be paid as an interim relief in lump sum to the nominee(s) or legal heir(s) of the subscriber and after determination of subscriber as missing and presumed dead as per the provisions of the Indian Evidence Act 1872 and amendments thereto, the remaining eighty percent out of the accumulated pension wealth of the subscriber shall be paid to the nominee(s) or legal heir(s) of the subscriber.
***Other exit provisions* अन्य धनकास के प्राविान**	
Q34	Whether employer can withhold accumulated pension wealth under the NPS?

	Yes, the President of India or the Governor of a State, or the head of the organisation, in respect of a body corporate or other entity under the ownership and control, either of the central government or any state government or a government company, as the case may be, if so specifically provided in the service rules, governing the terms of employment of the subscriber with it, reserves the right of withholding the part of pension wealth, accumulated through co-contributions made by the employer to the Tier-I account of the subscriber and the investment income accruing thereon, for the purpose of recovery of the whole or part of any pecuniary loss caused, provided such loss is established, in any departmental or judicial proceedings, initiated against such subscriber by the employer concerned.
Q35	When employer can exercise its right of withholding of accumulated pension wealth under the NPS?
	Right of withholding has to be exercised by the employer prior to the date of superannuation of the subscriber, pursuant to a notice to be given to the NPS Trust, and seeking to withhold the said pension wealth of such subscriber.
Q36	Whether subscriber will be eligible to receive the amount withheld by employer?
	The amount withheld which is payable under the NPS will not be paid to the subscriber until the conclusion of the departmental or judicial proceedings, and subject to the final orders, passed in such proceedings.
Q37	Whether the amount withheld will remain subscribed to existing scheme or will it be liquidated?
	The amount withheld by the employer will remain subscribed to the scheme in the mode and manner in which it was held prior to resorting to such action by the employer specified.

Q38	When will the amount withheld be settled?

	The amount withheld becomes payable to the subscriber on the final settlement, as certified by the employer specified, which has sought withholding of such benefits, and will be paid to the subscriber as per applicable regulation while executing exit as soon as possible and in no case beyond ninety days of receipt of the final order by the NPS Trust. Provided that, in case the amount withheld becomes payable after the death of subscriber, on the final settlement, the benefits, will be paid to the nominee(s) or legal heir(s) of such subscriber as per the applicable regulations.
Exit provisions – for subscriber joined NPS between age of 60 to 70 years **धनकास प्राविान – 60 से 70 वर्ष की आयु के बीच एनपीएस में शाधमल हुए अधिदाता के धलए**	
Q39	When can I exit?
	You can exit at any point of time, before attaining age of seventy-five years. However, your benefits at exit may vary depending upon the subscribed period (before or after completing three years from the date of joining of NPS).
Q40	What will be my benefits if I opt to exit after completing three years?
	Annuitization – Minimum of 40% of accumulated pension wealth will be utilized for monthly annuity or pension. However, subscriber has the option to utilise more than 40% of accumulated pension wealth for purchase of annuity. **Lumpsum** – Remaining 60% of accumulated pension wealth shall be paid to the subscriber.
Q41	Can I completely withdraw my accumulated pension wealth without annuitization?
	Yes, if your accumulated pension wealth is equal to or less than a sum of five lakh rupees.
Q42	Will I get an annuity if I have completely withdrawn my accumulated pension wealth?
	No, the right of the subscriber to receive any pension or other amount under the NPS will extinguish.
Q43	What will be my benefits if I opt to exit before completing three years?
	Annuitization – Minimum of 80% of accumulated pension wealth will be utilized for monthly annuity or pension. **Lumpsum** – Remaining 20% of accumulated pension wealth will be paid to the subscriber.
Q44	Can I completely withdraw my accumulated pension wealth without annuitization?

	Yes, if your accumulated pension wealth is equal to or less than a sum of two lakh fifty thousand rupees.

Q45	Will I get an annuity if I have completely withdrawn my accumulated pension wealth?
	No, the right of the subscriber to receive any pension or other amount under the NPS will extinguish.
Q46	What will happen in case of death of the subscriber?
	The entire accumulated pension wealth of the deceased subscriber will be paid to the nominee(s) or legal heir(s).
***Exit from Tier-II* धियर -II से धनकास के प्राविान**	
Q47	What will happen to Tier – II account in case of exit from Tier-I?
	Upon exit from tier-I of the NPS, the tier-II account of the subscriber will also be simultaneously and automatically closed, even if an application so specified for the purpose has not been received from the subscriber or nominees or legal heirs, and amounts under the said account will be paid to the subscriber or nominees or legal heirs.
Q48	Can I continue Tier - II account after exercising the option of continuation of Tier - I account?
	Yes, you can continue with Tier - II account as per your requirement, till closure of Tier - I account.
Q49	How many times can I withdraw from Tier – II account?
	You can withdraw any number of times from Tier – II account.
Q50	How much can I withdraw from Tier – II account?
	A subscriber can withdraw the accumulated wealth either in full or part, at any time. There shall be no limit on such withdrawals till the account has a sufficient amount of accumulated pension wealth to take care of the applicable charges and the withdrawal amount.
***Partial withdrawal (during accumulation phase)* आंधशक प्रत्याहरण (जमा / जारी रखने के दौरान)**	

Q51	Can I partially withdraw funds from my accumulated pension wealth before exit?
	Yes
Q52	How much funds can be partially withdrawn?
	Up to 25% of own contributions (without considering the appreciation / returns on the amount) as on the date of application of such withdrawal.

Q53	How many times can I partially withdraw funds?
	You are allowed to partially withdraw maximum of three times during the entire tenure of subscription under the NPS.
Q54	When can I initiate my first partial withdrawal?
	You can initiate first partial withdrawal after completing period of three years from the date of your joining the NPS.
Q55	Is there any time gap between two partial withdrawal applications?
	No However, you will receive 25% of own contribution made between two partial withdrawals.
Q56	What are the conditions under which partial withdrawal can be exercised?

	Partial withdrawal is allowed for the following specific purposes only. (a). for Higher education of his or her children including a legally adopted child; (b). for the marriage of his or her children, including a legally adopted child; (c). for the purchase or construction of a residential house or flat in his or her own name or in a joint name with his or her legally wedded spouse. In case, the subscriber already owns either individually or in the joint name a residential house or flat, other than ancestral property, no withdrawal under these regulations shall be permitted; (d). for treatment of specified illnesses: if the subscriber, his legally wedded spouse, children, including a legally adopted child or dependent parents suffer from any specified illness, which shall comprise of hospitalization and treatment in respect of the following diseases: (i). Cancer; (ii). Kidney Failure (End Stage Renal Failure); (iii). Primary Pulmonary Arterial Hypertension; (iv). Multiple Sclerosis; (v). Major Organ Transplant; (vi). Coronary Artery Bypass Graft; (vii). Aorta Graft Surgery; (viii). Heart Valve Surgery; (ix). Stroke; (x). Myocardial Infarction (xi). Coma; (xii). Total blindness;

	(xiii). Paralysis; (xiv). Accident of serious/ life threatening nature. (xv). any other critical illness of a life-threatening nature as stipulated in the circulars, guidelines or notifications issued by the Authority from time to time. (e). to meet medical and incidental expenses arising out of the disability or incapacitation suffered by the subscriber. (f). Towards meeting the expenses by subscriber for skill development/re-skilling or for any other self-development activities, as may be permitted by the Authority by issuance of appropriate guidelines, in that behalf. (g). Towards meeting the expenses by subscriber for establishment of own venture or any start-ups, as may be permitted by the Authority by issuance of appropriate guidelines, in that behalf.
Q57	What is the procedure, if I am unable to submit my partial withdrawal application due to specified illness?
	The request for withdrawal may be submitted through any family member of such subscriber.
	Nomination **नाधमधतकरण**
Q58	Is nomination mandatory in NPS?
	Yes
Q59	Who can be nominated?
	If a subscriber has a family at the time of making a nomination, the nomination shall be in favour of one or more persons belonging to his/her family.
Q60	What is the definition of family for the purpose of Nomination under NPS?

	For the purposes of nomination wherever provided in the regulation; (i). in relation to a male subscriber, shall mean his legally wedded wife, his children, whether married or unmarried, his dependent parents and his deceased son's widow and children; (ii). in relation to a female subscriber, shall mean her legally wedded husband, her children, whether married or unmarried, her dependent parents, her husband's dependent parents and her deceased son's widow and children;

	(iii). in relation to any subscriber who does not identify themselves as male or female - their legally wedded spouse, their children, whether married or unmarried, their dependent parents and their deceased son's widow and children; Explanation – in any of above three, if the child of a subscriber or as the case may be, the child of a deceased son of the subscriber has been adopted by another person and if, under the personal law of the adopter, adoption is legally recognized, such a child shall be considered as excluded from the family of the subscriber.
Q61	What happens if I nominated a person not belonging to my family, despite having family?
	Any such nomination made in favour of a person not belonging to your family shall be invalid and the you (subscriber) have to submit fresh nomination belonging to your family.
Q62	What happens if the nominee predeceases the subscriber?
	Such Nomination shall become void and the subscriber has to submit nomination again.
Q63	Can I nominate more than one person and what shall be percentage of accumulated pension wealth among nominees?
	Yes, you can nominate more than one nominee and can assign percentage of accumulated pension wealth among them in a way that total of such assignments should be equal to 100%.
Q64	Is it mandatory to file fresh nomination after the marriage?
	Yes, a fresh nomination is required to be made by the subscriber upon his/her marriage.
Q65	What will happen to my nomination if I have not filed a fresh nomination after marriage?
	The nomination made before marriage becomes invalid and you have to submit nomination again.
Q66	Who can be nominated if I do not have a family?

	If you have no family at the time of making a nomination, the nomination may be in favour of any person or persons but if you subsequently acquire a family, such nomination shall forthwith be deemed to be invalid and you shall make a fresh nomination in favour of one or more persons belonging to your family.
Q67	Can I nominate a minor?
	Yes - the nomination can be wholly or partly in favour of a minor. Further, the subscriber may appoint a major person of his family, to be the guardian of the minor nominee in the event of the subscriber predeceasing the nominee and the guardian.
Q68	Can I appoint any other person to be guardian to minor nominee?
	Yes – if there is no major person in the family

Q69	How many times can I modify the nomination?
	You can change the nomination any number of times.
Annuity / Pension (monthly or periodical pay out) **वाधर्षकी/ पेंशन (माधसक या आवधिक िुगतान)**	
Q70	What is annuity?
	Annuity means series of payments/benefits to the subscriber at specified intervals as per the choice of subscriber paid by annuity service provider (ASP). The main objective of an annuity is to give regular income to the subscriber even after retirement/working age.
Q71	Is it mandatory to purchase annuity under NPS at the time of exit?
	Yes, except there are some scenarios where the subscriber/nominees/legal heirs can withdraw the whole accumulated pension wealth as mentioned above.
Q72	Which companies are empaneled by the PFRDA as ASPs to provide annuities under NPS?

	Annuity shall be purchased from Annuity Service Providers (ASPs) empaneled with the PFRDA. The list of 14 ASPs empaneled is as under: (i). Aditya Birla Sun Life Insurance Company Limited (ii). Bajaj Life Insurance Limited (iii). Canara HSBC Life Insurance Company Limited (iv). Edelweiss Tokio Life Insurance Company Limited (v). HDFC Life Insurance Company Limited (vi). ICICI Prudential Life Insurance Company Limited (vii). IndiaFirst Life Insurance Company Limited (viii). Kotak Mahindra Life Insurance Company Limited (ix). Life Insurance Corporation of India (x). Max Life Insurance Company Limited (xi). PNB MetLife India Insurance Company Limited (xii). SBI Life Insurance Company Limited (xiii). Star Union Dai-ichi Life Insurance Company Limited (xiv). Tata AIA Life Insurance Company Limited ** For any update in empaneled Annuity Service Providers (ASPs), you are requested to refer PFRDA's website.*

Q73	In case of exit before attaining the age of sixty years or superannuation from NPS, when will annuity start i.e. immediately or after the age of 60 years or superannuation?
	Annuity starts immediately after the minimum age as required for purchasing any annuity (depending upon choice of ASP and Annuity scheme for e.g. 30, 35, 38) from any of the empaneled annuity service providers. Subscriber/nominees/legal heirs need not wait till the age of 60 years or superannuation.
Q74	What are the annuity options available under NPS?

	The following are the most common variants that are available: (a). **Annuity for life with return of purchase price (amount given to annuity service provider) on death-** Subscriber will receive payment of annuity till he/she is alive and payment stops after the death of subscriber. However, purchase price will be returned to nominees / legal heirs. (b). **Annuity guaranteed for 5, 10, 15 or 20 years and for life thereafter -** **On death during the guarantee period** – Subscriber will receive payment of annuity till he/she is alive and thereafter during the remaining guaranteed period, annuity will be paid to the nominee till the end of the guaranteed period after which the same ceases/stops. However, return of purchase price will not be returned to nominees / legal heirs. **On death after the guarantee period** – Subscriber will receive payment of annuity till he/she is alive even after the guaranteed period is over. Payment of annuity stops after the death of the subscriber. However, return of purchase price will not be returned to nominees / legal heirs. (c). **Annuity payable for life -** Subscriber will receive payment of annuity till he/she is alive and payment stops after the death of the subscriber. However, return of purchase price will not be returned to nominees / legal heirs. (d). **Annuity for life increasing at simple rate of 3% p.a.** – Subscriber will receive payment of annuity till he/she is alive increasing at simple rate of 3% p.a. and payment stops after the death of the subscriber. However, return of purchase price will not be returned to nominees / legal heirs. (e). **Annuity for life with a provision for 50% of the annuity to the spouse of the annuitant for life on death of the annuitant/subscriber -** Subscriber will receive

	payment of annuity till he/she is alive and thereafter spouse will receive 50% of payment of annuity till he/she is alive. Payment of annuity stops after the death of spouse. If the spouse predeceases the subscriber, payment of annuity will cease after the death of the annuitant. It may be noted that this annuity variant may be taken with or without return of purchase price. (f). **Annuity for life with a provision of 100% of the annuity payable to spouse during his/her lifetime on death of the annuitant/subscriber** – Subscriber will receive payment of annuity till he/she is alive and thereafter spouse will receive payment of annuity till he/she is alive. Payment of annuity stops after the death of spouse. If the spouse predeceases the subscriber, the annuity ceases after death of the annuitant. It can be with or without return of purchase price. It may be noted that this annuity variant may be taken with or without return of purchase price. **Subscriber can also add spouse in any of the variants above.* ***All ASPs may not provide all the variants. It may vary from ASP to ASP.* ****Pricing of annuity also varies from ASP to ASP.*
Q75	Whether amount invested in annuity will be returned?
	Only in annuity types where there is a provision of return of purchase price.
Q76	Where can I check the rates offered by the annuity service providers on various type of annuities?
	Details of annuity rates and other details may be checked on CRAs' website [*Computer Age Management Services Limited, KFin Technologies Limited and Protean eGov Technologies Limited*] and website of respective empaneled ASPs.
Q77	Can I change my annuity service provider or annuity type any time?

	Once an annuity is purchased, the option of cancellation or reinvestment with another Annuity Service Provider or in other annuity scheme shall not be allowed unless the same is within the time limit specified by the Annuity Service Provider, for the free look period as provided in the terms of the annuity contract or specifically provided by the Insurance Regulatory and Development Authority.
Tax provisions at withdrawals under the NPS **एनपीएस के तहत धनकास पर कर प्राविान**	
Q78	What are tax benefits available?
	Tier – I **Lump sum Withdrawal** - In case of exit upon attaining the age of 60 years or superannuation lump sum withdrawal i.e. 60% of the total accumulated pension wealth is tax exempted. **Annuity** - The amount utilized for purchase of annuity at exit upon attaining the age of 60 years or superannuation is tax exempted. However, the annuity income (pension) received will be taxed in the year of receipt as per the applicable tax slab of the subscriber. **Partial Withdrawal** – The amount received by employee under the NPS is tax exempted. ***Tier – II*** – No tax benefits